

tainable finance roadmap and augment finance from available and new sources and partners. Financing India's climate transition will demand unprecedented coordination between state and central governments, financial regulators, development finance institutions, and new domestic and international partnerships including with the emerging economy blocs.

I propose seven areas of action

where renewed efforts can help scale up finance, knowledge, capabilities.

1. Cultivate diplomatic realignments: India should proactively negotiate and strengthen green investment compacts with advanced and developing economy blocs such as the EU, Japan, Saudi Arabia, BRICS and in the Indo Pacific
2. Increase cooperation among national and regional development banks: MDBs like the Asian Infra-

structure Investment Bank, New Development Bank, and national development banks like that of Brazil, South Africa and Indonesia are natural partners for Indian DFIs for green infra financing

3. Create domestic green capital pools: PFRDA and IRDAI could mandate a five percent investment in green sovereign and corporate debt. This could unlock up to USD 40 billion a year from institutional investors such as LIC and EPFO and create local demand for green projects boosting local currency issuance
4. Bring regulatory and policy coordination for domestic and international capital mobilisation: Climate stress tests and forward-looking disclosures as being considered by the RBI will be needed for entities regulated by other financial regulators such as PFRDA, IRDAI and SEBI, underpinned by a robust, interoperable green taxonomy
5. Draw up a fiscal framework for climate action: This is important to calibrate the amount of government support needed in the form of subsidies, tax credits, carbon linked tax etcetera for market creation
6. Proactively engage with national and international philanthropic capital to scale up blended finance: This will lower investment risk in new climate tech, urban infrastructure, steel decarbonisation, resilient agriculture and other opportunities
7. Strengthen the ecosystem for doing business for international actors in India: This will be critical to advance climate investments and build trans-border climate finance cooperation **BT**

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